LS Electric (010120 KS)

Upward earnings revisions just starting

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BUY (M)

Target price	W300,000 (M)
Previous target price	W300,000
Current price (Oct 21)	W166,100
Upside potential	81%

Market cap (Wbn)	24,915
Shares outstanding	150,000,000
Avg daily T/O (2M, Wbn)	117
Avg daily volume (2M, shrs)	606,120
52-week high/low (won)	318,500 / 62,200
Foreign ownership (%)	18.52%
Dividend yield (%)	0.65%
Major shareholders	LS Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	(20.5)	(12.2)	167.0
Relative	(2.9)	3.3	78.0
Abs (US$)	(17.2)	(2.3)	187.7

3Q26 review: earnings surprise as expected

LS Electric's 3Q26 consolidated revenue came to W1.88tn (+54.4% YoY, +19.1% QoQ) and OP W233.5bn (+131.6% YoY, +30.8% QoQ, OPM 12.4%), beating consensus and both posting record-high quarterly figures. Power infrastructure OP came to W152.5bn (+64.5% QoQ, OPM 17.1%), driving earnings growth, as sales of switchgear for US data centers and high-margin domestic projects expanded. US tariff refunds and Chinese business restructuring costs were reflected in similar amounts, so we believe the net impact on consolidated earnings was limited.

From growing orders to accelerated capacity expansion

Cumulative new orders as of 3Q26 came to around W4.8tn, and the company will likely meet or exceed the upper end of its annual guidance of W6.0-6.5tn. Data centers accounted for over 50% of orders, with the firm simultaneously securing additional order placements from existing Big Tech clients as well as new clients. The switchgear/distribution board order backlog expanded to W2.25tn (+12.3% QoQ). Given the 10-to-12-month delivery lead time for Big Tech clients, orders, which surged this year, will likely convert into revenue quickly in 2027. To meet demand, the company is accelerating capacity expansion at its Cheongju plant and suppliers. Switchgear capacity growth in 2027 should exceed the previous estimate of 30%. The company also maintains its mid- to long-term plan to more than triple capacity by 2030.

Another quarterly record in 4Q26; 2027 OP to rise 67.6%

We estimate 4Q26 sales at W2.05tn and OP at W248.1bn (+91.3% YoY), setting new quarterly records. Revenue recognition from secured high-margin projects should increase, while rising sales of power distribution equipment in the US and price hikes in Europe and Southeast Asia should also support earnings growth.

For 2027, we estimate sales at W9.62tn (+39.8% YoY) and OP at W1.3186tn (+67.6% YoY, OPM 13.7%). We have raised our OP estimate by 14.1%. Switchgear sales should expand from W1.94tn in 2026 to W3.61tn in 2027. US sales of power distribution equipment are also emerging as a new earnings growth driver, with 2026 sales expected to nearly triple YoY to approximately W350bn. Meanwhile, data center demonstrations of next-generation DC products, including SSTs and SSCBs, should pave the way for a broader product offering over the medium to long term. Given the expanding Big Tech customer base and product portfolio, alongside accelerated capacity expansion, further earnings upgrades appear likely. The stock currently trades at a 2027E P/E of 24x and 2028E P/E of 19x, leaving further upside in light of the company's mid- to long-term earnings growth potential.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,878	54.4	19.1	1,675	12.1
OP	234	131.7	30.8	194	20.5
Pre-tax net profit	194	112.3	23.7	188	3.5
Net profit, CI	141	112.6	19.1	144	-2.2
OPM (%)	12.4	+4.1 %pt	+1.1 %pt	11.6	+0.8 %pt
NPM (%)	7.5	+2.0 %pt	0	8.6	-1.1 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	4,552	4,966	6,879	9,618
OP	390	426	787	1,319
Net profit, CI	239	287	603	1,020
P/E (x)	18.3	30.5	41.3	24.4
P/B (x)	2.4	4.2	9.6	7.1
EV/EBITDA (x)	10.2	17.0	27.9	17.5
ROE (%)	13.4	14.7	25.9	33.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

LS Electric: 3Q26 review (Wbn)

	3Q26P	3Q25	YoY	2Q26	QoQ	Our estimate	Differenc
Sales	1,877.8	1,216.3	54.4%	1,577.0	19.1%	1,737.8	8.1%
OP	233.5	100.8	131.7%	178.5	30.8%	207.8	12.4%
OPM (%)	12.4%	8.3%	+0.7%p	11.3%	+0.7%p	12.0%	-0.7%p

Source: Yuanta Securities

Earnings estimate revision (Wbn)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	1,919.3	6,610.6	8,556.3	2047.5	6,878.9	9,618.2	6.7%	4.1%	12.4%
OP	226.6	739.5	1,155.5	248.1	786.7	1,318.6	9.5%	6.4%	14.1%
OPM (%)	11.8%	11.2%	13.5%	12.1%	11.4%	13.7%	0.3%	0.2%	0.2%
Net profit, CI	162.2	578.3	902.4	222.3	602.7	1019.6	37.1%	4.2%	13.0%

Note: CI = controlling interest
Source: Yuanta Securities

LS Electric: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	**1,032.1**	**1,193.0**	**1,216.3**	**1,524.4**	**1,376.6**	**1,577.0**	**1,877.8**	**2,047.5**	**4,965.8**	**6,878.9**	**9,618.2**
Electric	**661.3**	**812.3**	**736.7**	**918.9**	**958.4**	**1,091.5**	**1,292.4**	**1,415.5**	**3,129.2**	**4,757.8**	**7,254.6**
1) Distribution equipment	231.2	241.4	232.4	242.3	267.7	291.6	305.8	318.0	947.2	1,183.2	1,545.1
2) Power infrastructure	373.0	506.0	458.7	573.1	643.2	725.2	891.8	999.2	1,910.8	3,259.4	5,425.8
Switchgear	198.6	288.3	246.4	301.0	356.3	419.3	541.6	619.9	1,034.3	1,937.1	3,606.8
Transformer	133.1	173.3	168.9	196.5	237.4	238.8	276.1	277.1	671.8	1,029.4	1,457.1
UHV	89.6	82.7	88.7	120.3	164.2	158.1	183.0	193.8	381.3	699.1	1,007.9
Distribution	43.5	90.6	80.2	76.2	73.2	80.7	93.1	83.3	290.5	330.3	449.2
Others	41.3	44.4	43.4	75.6	49.5	67.1	74.1	102.2	204.7	292.9	361.9
3) Renewable	57.1	64.9	45.7	103.5	47.5	74.7	94.7	98.3	271.2	315.2	283.7
Automation	**76.9**	**86.3**	**87.9**	**82.4**	**82.1**	**97.9**	**86.1**	**86.5**	**333.5**	**352.7**	**373.8**
Subsidiaries and cons adj	**293.9**	**294.4**	**391.7**	**519.5**	**336.0**	**387.6**	**499.3**	**545.5**	**1,503.1**	**1,768.3**	**1,989.8**
% YoY	***-0.6%***	***5.4%***	***19.1%***	***12.1%***	***33.4%***	***32.2%***	***54.4%***	***34.3%***	***9.1%***	***38.5%***	***39.8%***
Electric	***0.0%***	***14.5%***	***15.1%***	***21.8%***	***44.9%***	***34.4%***	***75.4%***	***54.0%***	***13.2%***	***52.0%***	***52.5%***
1) Distribution equipment	*-4.0%*	*3.7%*	*5.9%*	*15.2%*	*15.8%*	*20.8%*	*31.6%*	*31.3%*	*4.9%*	*24.9%*	*30.6%*
2) Power infrastructure	*8.9%*	*32.0%*	*27.2%*	*34.2%*	*72.4%*	*43.3%*	*94.4%*	*74.4%*	*26.2%*	*70.6%*	*66.5%*
Switchgear	*26.9%*	*23.7%*	*16.1%*	*37.8%*	*79.4%*	*45.4%*	*119.8%*	*105.9%*	*26.1%*	*87.3%*	*86.2%*
Transformer	*13.1%*	*44.4%*	*39.5%*	*23.6%*	*78.4%*	*37.8%*	*63.5%*	*41.0%*	*29.7%*	*53.2%*	*41.5%*
UHV	*30.6%*	*-1.1%*	*3.4%*	*-3.8%*	*83.3%*	*91.2%*	*106.3%*	*61.1%*	*5.0%*	*83.4%*	*44.2%*
Distribution	*-11.4%*	*148.9%*	*127.2%*	*124.8%*	*68.3%*	*-10.9%*	*16.1%*	*9.3%*	*87.8%*	*13.7%*	*36.0%*
Others	*-39.6%*	*46.3%*	*59.5%*	*52.2%*	*19.9%*	*51.1%*	*71.0%*	*35.2%*	*16.6%*	*43.1%*	*23.6%*
3) Renewable	*-26.7%*	*-30.3%*	*-23.9%*	*-11.4%*	*-16.9%*	*15.0%*	*107.5%*	*-5.0%*	*-22.1%*	*16.2%*	*-10.0%*
Automation	***-13.3%***	***-12.8%***	***13.5%***	***5.2%***	***6.8%***	***13.4%***	***-2.0%***	***5.0%***	***-2.9%***	***5.8%***	***6.0%***
Subsidiaries and cons adj	***1.8%***	***-9.2%***	***29.0%***	***-1.4%***	***14.3%***	***31.7%***	***27.5%***	***4.3%***	***4.1%***	***17.6%***	***12.5%***
OP	**87.3**	**108.6**	**100.8**	**129.7**	**126.6**	**178.5**	**233.5**	**248.1**	**426.4**	**786.7**	**1,318.6**
Electric	**71.0**	**91.1**	**73.9**	**116.7**	**105.6**	**137.4**	**193.5**	**202.7**	**352.7**	**639.2**	**1,144.9**
1) Distribution equipment	46.3	44.4	40.4	45.8	36.5	45.5	43.7	61.6	176.9	187.2	318.1
2) Power infrastructure	31.0	55.7	45.0	70.5	78.1	92.7	152.5	140.2	202.1	463.5	828.5
3) Renewable	-6.3	-9.0	-11.5	0.5	-8.9	-0.8	-2.7	1.0	-26.4	-11.5	-1.6
Automation	**3.4**	**4.5**	**2.4**	**-0.7**	**2.7**	**9.4**	**6.4**	**1.7**	**9.6**	**20.1**	**12.7**
Subsidiaries and cons adj	**13.0**	**13.0**	**24.5**	**14.2**	**18.3**	**31.8**	**33.7**	**43.6**	**64.2**	**127.4**	**160.9**
% YoY	***-6.9%***	***-0.9%***	***51.7%***	***8.2%***	***45.0%***	***64.4%***	***131.7%***	***91.3%***	***9.4%***	***84.5%***	***67.6%***
Electric	***-6.2%***	***-15.0%***	***37.5%***	***55.0%***	***48.8%***	***50.8%***	***161.8%***	***73.7%***	***13.1%***	***81.3%***	***79.1%***
1) Distribution equipment	*-21.2%*	*-14.5%*	*4.5%*	*39.0%*	*-21.3%*	*2.4%*	*8.3%*	*34.5%*	*-3.0%*	*5.9%*	*69.9%*
2) Power infrastructure	*40.5%*	*-8.1%*	*132.0%*	*59.0%*	*152.2%*	*66.4%*	*238.9%*	*98.9%*	*38.1%*	*129.3%*	*78.7%*
3) Renewable	*RR*	*RR*	*RR*	*TTB*	*RR*	*LR*	*LR*	*106.0%*	*56.9%*	*-56.3%*	*-85.9%*
Automation	***1677.3%***	***-12.0%***	***TTB***	***LR***	***-20.2%***	***108.9%***	***164.7%***	***-347.2%***	***1097.4%***	***110.2%***	***-36.8%***
Subsidiaries and cons adj	***-27.6%***	***-586.9%***	***85.6%***	***-70.8%***	***41.2%***	***144.6%***	***37.6%***	***218.9%***	***-16.7%***	***98.5%***	***26.3%***
OPM (%)	**8.5%**	**9.1%**	**8.3%**	**8.5%**	**9.2%**	**11.3%**	***12.4%***	***12.1%***	***8.6%***	***11.4%***	***13.7%***
Electric	**10.7%**	**11.2%**	**10.0%**	**12.7%**	**11.0%**	**12.6%**	***15.0%***	***14.3%***	***11.3%***	***13.4%***	***15.8%***
Automation	**4.4%**	**5.2%**	**2.7%**	**-0.8%**	**3.3%**	**9.6%**	***7.4%***	***2.0%***	***2.9%***	***5.7%***	***3.4%***
Subsidiaries and cons adj	**4.4%**	**4.4%**	**6.3%**	**2.7%**	**5.4%**	**8.2%**	***6.7%***	***8.0%***	***4.3%***	***7.2%***	***8.1%***

Note: TTR = turn to red, TTB= turn to black, LR = loss narrowed

\Source: Yuanta Securities

UHV transformer peers: valuations (Wbn, $mn, JPYbn, EURmn)

		LS Electric	Hyosung Heavy Ind	HD Hyundai Electric	Sanil Electric	Iljin Electric	PWR	GEV	HUBB	Hitachi	Siemens Energy
Market cap		**24,915**	18,174	17,988	5,546	2,947	89,605	237,125	24,267	26,488	113,235
Sales	2025	**4,966**	5,969	4,080	502	2,045	28,480	38,068	5,845	10,587	39,077
	2026E	**6,879**	7,221	4,572	663	2,371	39,551	46,253	6,872	11,857	44,192
	2027E	**9,618**	9,748	5,454	885	2,522	45,720	53,064	7,541	13,023	50,597
	2028E	**11,260**	12,707	6,449	1,177	2,663	51,768	60,967	7,984	14,047	57,205
OP	2025	**426**	747	995	179	151	1,612	1,388	1,209	1,132	2,149
	2026E	**787**	1,068	1,200	249	254	2,635	4,416	1,589	1,464	5,169
	2027E	**1,319**	1,774	1,650	338	285	3,229	7,994	1,811	1,672	7,223
	2028E	**1,732**	2,641	2,077	446	314	3,835	11,379	1,942	1,909	9,345
OPM	2025	**8.6%**	12.5%	24.4%	35.6%	7.4%	5.7%	3.6%	20.7%	10.7%	5.5%
	2026E	**11.4%**	14.8%	26.3%	37.6%	10.7%	6.7%	9.5%	23.1%	12.3%	11.7%
	2027E	**13.7%**	18.2%	30.3%	38.2%	11.3%	7.1%	15.1%	24.0%	12.8%	14.3%
	2028E	**15.4%**	20.8%	32.2%	37.9%	11.8%	7.4%	18.7%	24.3%	13.6%	16.3%
Net profit, CI	2025	**287**	520	733	149	104	1,028	4,884	887	802	1,414
	2026E	**603**	671	914	213	178	2,558	7,109	1,091	958	3,832
	2027E	**1,020**	1,150	1,257	288	205	2,991	6,612	1,210	1,165	5,313
	2028E	**1,315**	1,976	1,659	376	250	3,570	9,240	1,323	1,345	6,804
P/E (x)	2025	**48.2**	31.9	38.1	26.6	25.0	57.3	35.9	26.3	25.8	61.0
	2026E	**41.3**	27.1	19.7	26.0	16.6	35.0	33.4	22.2	27.6	29.5
	2027E	**24.4**	15.8	14.3	19.3	14.4	30.0	35.9	20.1	22.7	21.3
	2028E	**18.9**	9.2	10.8	14.8	11.8	25.1	25.7	18.3	19.7	16.6

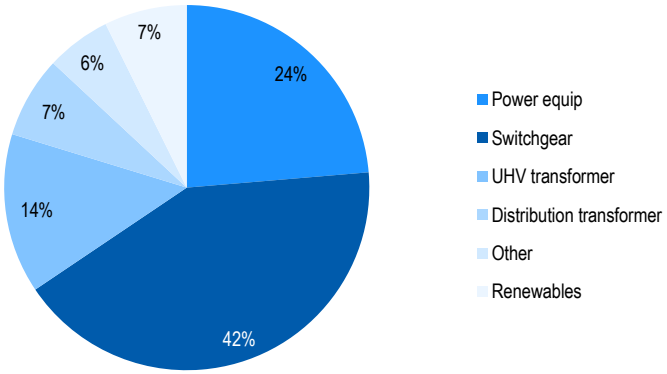
Note: market cap is as of Oct 21, 2026, CI = controlling interest, domestic firms are our estimates
Source: Bloomberg, Yuanta Securities

Distribution equipment peers: valuations **(Wbn, $mn, EURmn, TWDmn)**

		LS Electric	Sanil Electric	Cheryong Electric	Eaton (ETN)	VERTIV (VRT)	Schneider Electric SE (SU)	ABB (ABBN)	Fortune Electric
Market cap		**24,915**	5,546	651	148,361	78,368	141,787	159,018	217,516
Sales	2025	**4,966**	502	224	27,448	10,230	40,152	33,220	24,423
	2026E	**6,879**	663	226	32,761	14,018	45,082	38,178	28,384
	2027E	**9,618**	885	-	36,504	18,256	49,954	42,676	35,012
	2028E	**11,260**	1,177	-	39,931	21,933	55,093	46,880	40,931
OP	2025	**426**	179	67	5,209	1,830	6,699	6,047	5,227
	2026E	**787**	249	78	6,367	3,304	8,187	7,447	6,789
	2027E	**1,319**	338	-	7,630	4,625	9,694	8,701	9,410
	2028E	**1,732**	446	-	8,699	5,817	11,236	9,915	11,699
OPM	2025	**8.6%**	35.6%	29.9%	19.0%	17.9%	16.7%	18.2%	21.4%
	2026E	**11.4%**	37.6%	34.5%	19.4%	23.6%	18.2%	19.5%	23.9%
	2027E	**13.7%**	38.2%	-	20.9%	25.3%	19.4%	20.4%	26.9%
	2028E	**15.4%**	37.9%	-	21.8%	26.5%	20.4%	21.1%	28.6%
Net profit, CI	2025	**287**	149	59	4,087	1,333	4,163	4,734	4,419
	2026E	**603**	213	62	5,253	2,602	5,867	6,231	6,206
	2027E	**1,020**	288	-	6,059	3,566	6,971	6,506	8,080
	2028E	**1,315**	376	-	6,954	4,542	8,132	7,352	9,662
P/E (x)	2025	**48.2**	26.6	9.6	28.7	44.2	31.7	29.9	65.0
	2026E	**41.3**	26.0	10.5	28.2	30.1	24.2	25.5	35.0
	2027E	**24.4**	19.3	-	24.5	22.0	20.3	24.4	26.9
	2028E	**18.9**	14.8	-	21.3	17.3	17.4	21.6	22.5

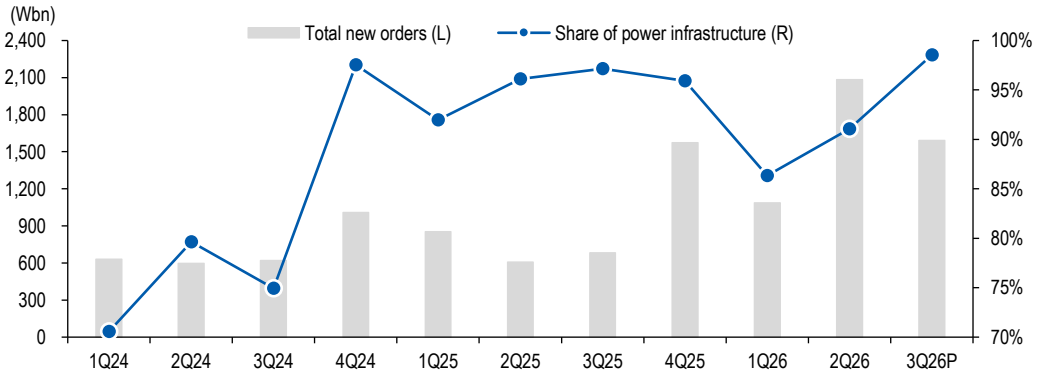
Note: market cap as of Oct 21, 2026, CI = controlling interest
Source: Bloomberg, Yuanta Securities

LS Electric: sales mix as of 3Q26



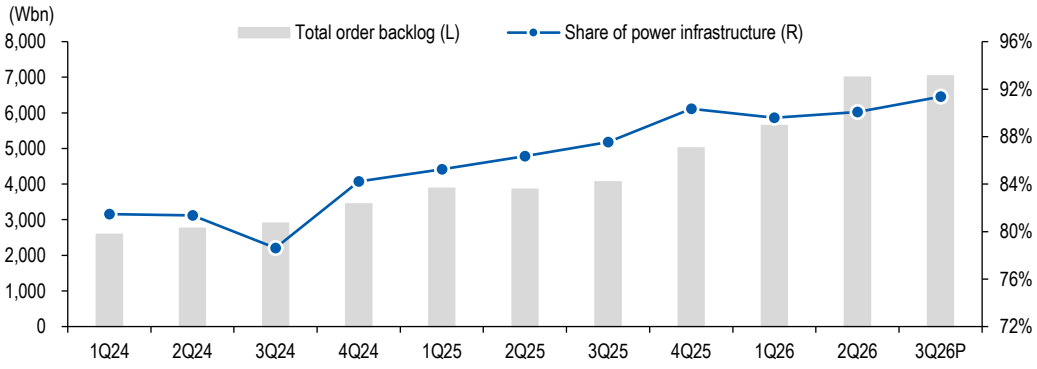
Source: company data, Yuanta Securities

LS Electric: new orders



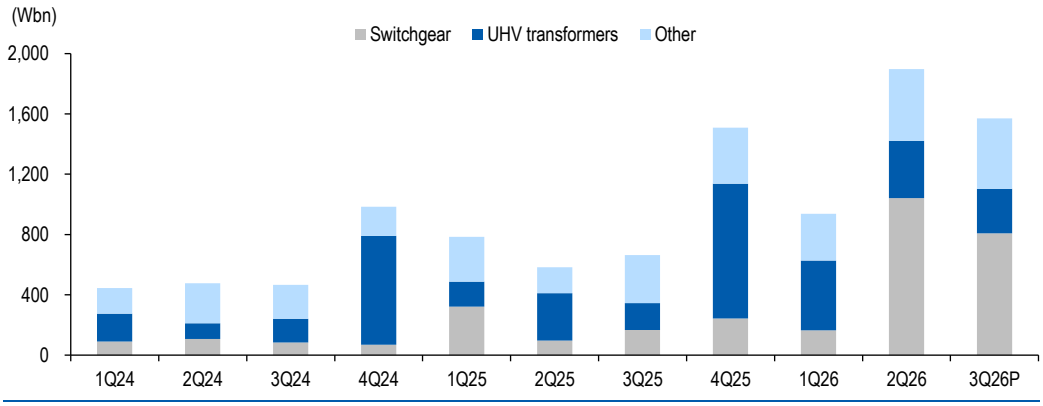
Source: company data, Yuanta Securities

LS Electric: order backlog



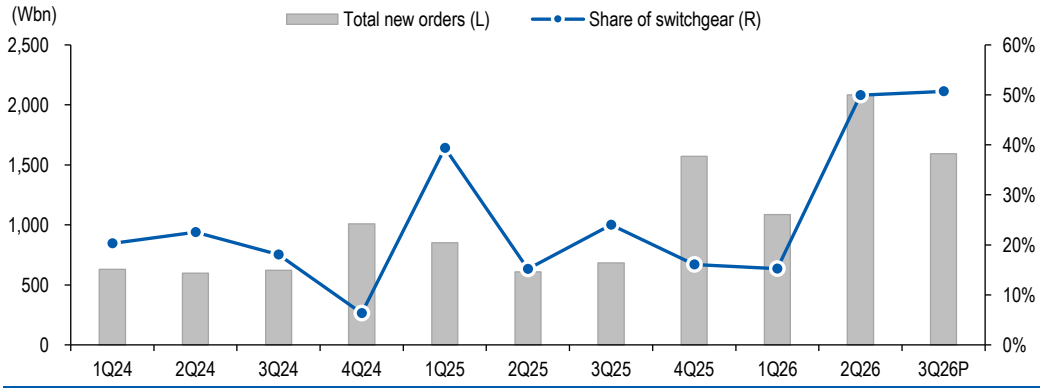
Source: company data, Yuanta Securities

LS Electric: power infrastructure new orders



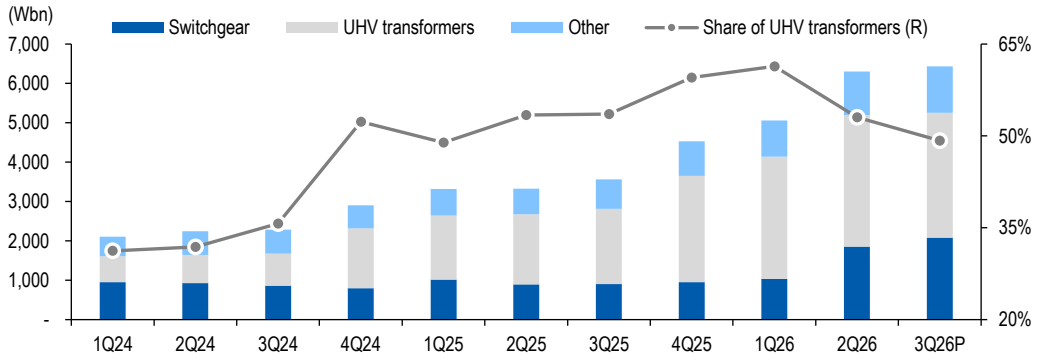
Source: company data, Yuanta Securities

LS Electric: share of switchgear in new orders



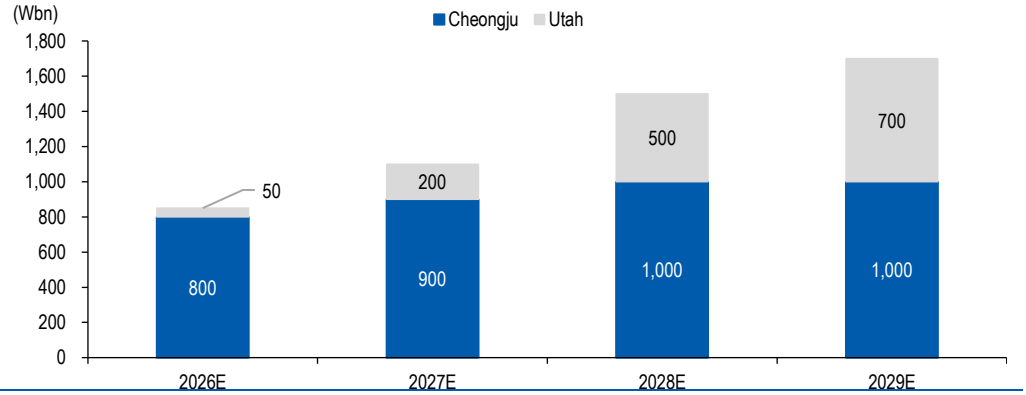
Source: company data, Yuanta Securities

LS Electric: share of UHV transformers in power infrastructure order backlog



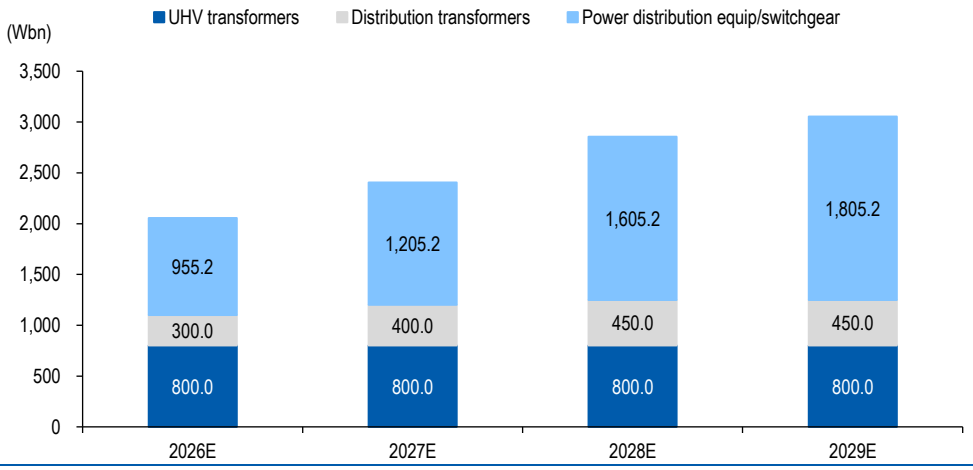
Source: company data, Yuanta Securities

LS Electric: switchgear capacity trend and forecast



Note: estimates assume productivity improvements and exclude additional domestic capacity expansion
Source: company data, Yuanta Securities

LS Electric: capacity by product category



Note: estimates reflect LS PS capacity expansion and assume productivity improvements.
Source: company data, Yuanta Securities

LS Electric (010120 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**4,552**	**4,966**	**6,879**	**9,618**	**11,260**
Cost of sales	3,644	3,914	5,280	7,181	8,202
Gross profit	908	1,051	1,599	2,437	3,057
SG&A	518	625	813	1,119	1,325
Operating profit	**390**	**426**	**787**	**1,319**	**1,732**
EBITDA	503	559	922	1,456	1,871
Non-operating profit	-56	-16	43	80	7
Forex gains	64	-1	50	50	35
Net interest income	-22	-30	-30	-29	-17
Equity-method gains	0	0	0	0	0
Other	-98	15	23	58	-12
Net prof before income tax	333	410	830	1,399	1,739
Income tax	91	126	232	387	435
Net profit from continuing ops	242	284	598	1,011	1,304
Net profit from discontinued ops	0	0	0	0	0
Net profit	242	284	598	1,011	1,304
NP for controlling interest	**239**	**287**	**603**	**1,020**	**1,315**
Total comprehensive income	213	322	595	1,008	1,301
Total comprehensive income, CI	208	310	572	970	1,251

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,052**	**3,357**	**4,289**	**5,851**	**7,388**
Cash & cash equivalents	660	763	710	858	1,548
Accounts receivables & other	1,070	1,036	1,433	2,003	2,345
Inventory	510	553	766	1,071	1,254
Non-current assets	1,433	1,600	1,676	1,745	1,830
Tangible assets	861	979	1,008	1,082	1,153
Investment in affiliates	4	18	24	34	40
Other investment assets	147	205	210	216	220
Total assets	**4,485**	**4,957**	**5,965**	**7,595**	**9,218**
Current liabilities	1,846	1,865	2,353	3,053	3,472
Accounts payable & other	638	707	979	1,369	1,603
ST financial liabilities	381	302	302	302	302
Liquid LT liabilities	249	295	295	295	295
Non-current liabilities	749	951	965	986	999
LT financial liabilities	80	115	115	115	115
Debentures	489	658	658	658	658
Total liabilities	**2,595**	**2,815**	**3,318**	**4,039**	**4,470**
Equity, controlling interest	1,839	2,070	2,580	3,498	4,701
Paid-in capital	150	150	150	150	150
Capital surplus	-24	-18	-18	-18	-18
Retained earnings	1,743	1,939	2,453	3,374	4,579
Equity, non-controlling interest	51	72	67	58	47
Total equity	**1,890**	**2,141**	**2,647**	**3,557**	**4,748**
Net debt	**719**	**665**	**698**	**521**	**-186**
Total debt	1,449	1,566	1,587	1,618	1,637

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**230**	**300**	**294**	**528**	**1,080**
Net profit	242	284	598	1,011	1,304
Depreciation & amortization	102	116	122	126	129
Forex gains	-43	1	-50	-50	-35
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-225	-175	-469	-652	-409
Other	154	73	95	93	91
Investing cash flow	**-256**	**-250**	**-258**	**-270**	**-265**
Investment	-31	-36	-11	-16	-10
Increase in tangible assets	-145	-201	-150	-200	-200
Decrease in tangible assets	1	1	0	0	0
Other	-81	-13	-96	-54	-55
Financing cash flow	**82**	**59**	**-43**	**-43**	**-67**
ST financial liabilities	203	-126	22	31	19
Debenture/LT financial liabilities	133	242	0	0	0
Equity	-11	6	0	0	0
Cash dividend	-83	-87	-89	-98	-110
Other cash flow	-160	24	24	24	24
Consolidation adj and other	20	-7	-46	-66	-57
Increase in cash & equivalents	**76**	**103**	**-53**	**148**	**691**
Beginning cash & equivalents	584	660	763	710	858
Ending cash & equivalents	660	763	710	858	1,548
NOPLAT	390	426	**787**	**1,319**	**1,732**
FCF	**85**	**99**	**144**	**328**	**880**

Valuation

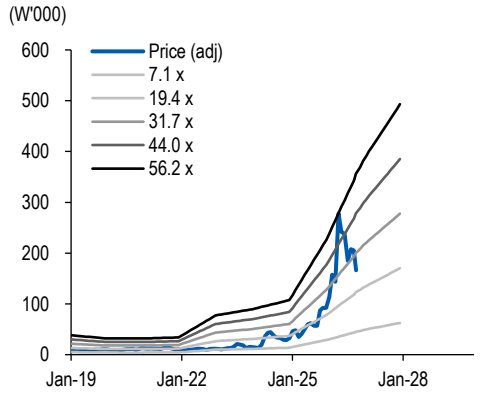
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,591	1,911	4,017	6,798	8,769
BPS (won)	12,382	13,920	17,337	23,509	31,586
EBITDA/shr (won)	3,357	3,725	6,145	9,705	12,477
SPS (won)	30,346	33,105	45,859	64,121	75,063
DPS (won)	580	600	660	740	820
P/E (x)	**18.3**	**30.5**	**41.3**	**24.4**	**18.9**
P/B (x)	**2.4**	**4.2**	**9.6**	**7.1**	**5.3**
EV/EBITDA (x)	**10.2**	**17.0**	**27.9**	**17.5**	**13.2**
P/S (x)	**1.0**	**1.8**	**3.6**	**2.6**	**2.2**

Key financial data

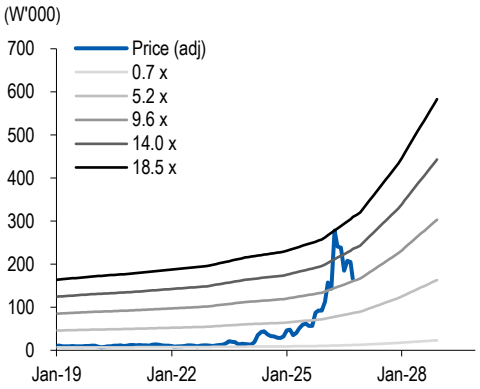
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**7.6**	**9.1**	**38.5**	**39.8**	**17.1**
Operating profit (%YoY)	**20.0**	**9.4**	**84.5**	**67.6**	**31.4**
Net profit, CI (%YoY)	**15.9**	**20.1**	**110.2**	**69.2**	**29.0**
Gross margin (%)	19.9	21.2	23.2	25.3	27.2
Operating margin (%)	**8.6**	**8.6**	**11.4**	**13.7**	**15.4**
Net margin, CI (%)	5.2	5.8	8.8	10.6	11.7
EBITDA margin (%)	11.1	11.3	13.4	15.1	16.6
ROIC (%)	14.2	12.7	21.5	29.1	33.3
ROA (%)	5.8	6.1	11.0	15.0	15.6
ROE (%)	**13.4**	**14.7**	**25.9**	**33.5**	**32.1**
Debt-to-equity (%)	137.3	131.5	125.4	113.6	94.2
Net debt-to-equity (%)	39.1	32.1	27.1	14.9	-4.0
OP/financing cost (x)	8.9	8.2	14.4	23.8	30.7

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

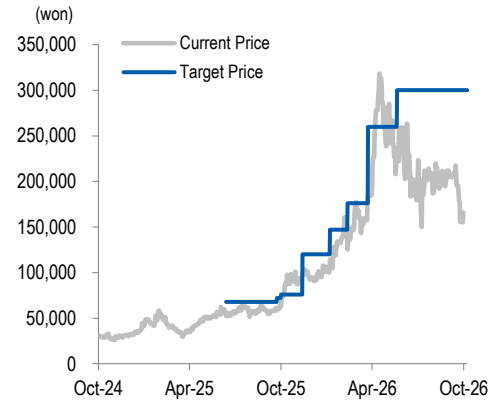
P/E band chart



P/B band chart



LS Electric (010120 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/22	BUY	300,000	1 yr		
2026/06/11	BUY	300,000	1 yr		
2026/04/14	BUY	260,000	1 yr	-3.79	22.50
2026/03/04	BUY	176,000	1 yr	-11.19	1.82
2026/01/28	BUY	147,000	1 yr	-9.61	9.25
2025/12/04	BUY	120,000	1 yr	-17.45	-10.17
2025/10/22	BUY	76,000	1 yr	18.45	33.16
2025/10/14	BUY	72,000	1 yr	-14.28	-11.25
2025/07/04	BUY	68,000	1 yr	-14.46	-3.24

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 22, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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